

CHAPTER 10 - The Warren Buffett Asset Allocation Portfolio

Warren Buffett mentioned asset allocation instructions for his trust in his [2013 shareholder letter](#):

“What I advise here is essentially identical to certain instructions I’ve laid out in my will. One bequest provides that cash will be delivered to a trustee for my wife’s benefit. . . . My advice to the trustee could not be more simple: Put 10% of the cash in short-term government bonds and 90% in a very low-cost S&P 500 index fund. (I suggest Vanguard’s.) I believe the trust’s long-term results from this policy will be superior to those attained by most investors ...”

How has that advice performed over time? You don’t need us to tell you, but with 90% in stocks, you’re going to track the broad stock market.

FIGURE 39 - Asset Class Returns, 1973-2013

